

Meta Platforms, Inc.

META NASDAQ

Buy	\$725.64 ▼ 1.79%	12M Price Target \$820.00	52-Week Range \$520.26 – \$779.82	Market Cap \$1.85T
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META: Profit-Taking Dip in a Still-Bullish Tape

WHAT HAPPENED

- META dropped 1.8% today on lighter volume (8.7M vs. the usual 12-15M) — this smells like profit-taking after a 2% rip on Monday, not real selling pressure. When volume dries up on a down day, it usually means buyers just stepped aside, not that sellers are panicking.
- The broader tech tape was soft too (-0.35%) with money rotating into Healthcare and defensive stuff like Utilities — classic "risk-off Tuesday" where mega-cap tech gives back some gains.

WHY IT MATTERS

Here's the interesting tension: options traders are leaning aggressively bullish (put/call ratio of 0.64 — meaning way more bets on the stock going UP than down), with massive unusual call buying at the \$722-725 strikes expiring this month. Someone with real money thinks this dip gets bought. BUT, the COO sold ~\$875K worth of stock last week, and there's cluster selling from insiders — that's a yellow flag worth noting, though execs often sell on scheduled plans, not because they know something bad. Net read: short-term traders are positioning for a bounce back toward \$750, while insiders are quietly trimming into strength. I'd lean with the options flow here — insider selling at these levels is normal when stock is near 52-week highs (79% of range).

POLICY & POLITICAL WATCH

The big one to watch: the Kids Online Safety Act (KOSA) and various state-level age-verification laws keep getting re-introduced — if a federal version passes, Meta eats compliance costs but it also builds a moat because smaller competitors can't afford the infrastructure. On the positive side, the Trump administration's posture toward Big Tech has been notably friendlier than Biden's FTC under Lina Khan — the antitrust case trying to force Meta to divest Instagram and WhatsApp has lost momentum, which removes a massive overhang. Also watch the TikTok situation: any further restrictions or forced divestiture pushes ad dollars straight to Reels, which is pure upside for META.

IS IT EXPENSIVE?

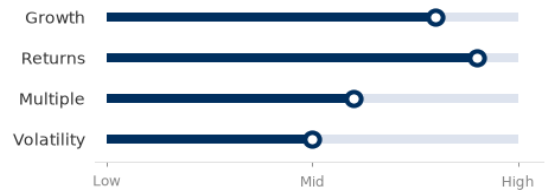
At ~25x forward earnings (meaning you're paying \$25 for every \$1 of profit the company will make next year), META is reasonably priced for a business growing earnings 15-20% with 35%+ operating margins. That's actually cheaper than the S&P 500 average right now, which is wild for a company this dominant. The catch: a chunk of that profit is being plowed into AI infrastructure and Reality Labs (the metaverse money pit), so if those bets don't pay off, the multiple contracts fast.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$725.64
12M Price Target	\$820.00
Upside / (Downside)	+13.0%
Market Cap	\$1.85T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$28.50
FY2027E EPS	\$33.00
Fwd P/E	25.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$770.00	\$735.00	\$690.00
6 Months	\$850.00	\$790.00	\$680.00
1 Year	\$920.00	\$820.00	\$640.00
2 Years	\$1100.00	\$900.00	\$600.00
5 Years	\$1500.00	\$1150.00	\$550.00
10 Years	\$2400.00	\$1600.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.4%) is catching a bid — likely rotation into defensives as rate-cut expectations get murky. Utilities continue to benefit from the AI power-demand story (data centers need insane amounts of electricity).

COOLING OFF: Tech (-0.35%) and Comm Services (-0.05%, where META lives) are taking a breather after a strong run. Nothing broken, just digestion.

ROTATION WATCH: Money is quietly moving from mega-cap tech into healthcare and utilities today — but 5-day returns show tech still leading (+2.83%), so this looks like a one-day pause, not a trend change.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels names benefit even more than META itself — think NVDA (chips), VRT (data center cooling), and the utility stocks powering all those data centers (CEG, VST).

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Riding the same ad-recovery wave as META, plus Gemini AI is finally getting traction and the DOJ remedy on search looks less draconian than feared.
- NFLX (Netflix): Ad-tier is scaling, password-sharing crackdown still monetizing, and they're the cleanest "consumer discretionary with growth" story right now.

META CONTEXT: META has been a leader in Comm Services all year — today's dip is in-line with sector, not stock-specific weakness. When a leader rests while the group pauses, that's usually a continuation setup, not a top.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — cautiously bullish, not pounding the table. The setup is good but we're near 52-week highs with earnings in 3 weeks, so some caution makes sense.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter if it rips, small enough that a bad earnings print doesn't blow up your year.

ENTRY POINTS: I'd scale in around \$700-715 if we get a pullback into earnings. The \$720 level has been acting as support, so breaks below that are buyable unless something fundamental changes.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is proof that AI investments are driving incremental ad revenue (better targeting = higher prices per ad). First real evidence should come in Q4 2026 / Q1 2027 earnings.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY, or if a credible antitrust remedy forcing divestiture gains traction again. Also out if capex guidance for 2027 jumps meaningfully above \$70B without a clear monetization plan.

HEDGING: Simplest hedge — buy put options (basically insurance that pays off if the stock drops) expiring after earnings, strike around \$680. Costs you a little but protects against an earnings bomb. Or just keep some cash on the sidelines so you can buy more if it dips.